

5.4

Cash Flow from Investing Activities

We are now going to understand more about Cash flow from investing activities.

CFI Ratios						
CFI/CFO	-0.54	-1.11	0.05	-0.61	0.08	-1.21
Operating Capex/CFO	-0.18	-0.15	-0.22	-0.30	-0.35	-0.25
FCF	416.33	-85.15	835.29	331.49	1382.41	-296.05

The numbers that we evaluate to understand Cash flow from investing activities are -



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CFI/CFO

Let us begin understanding the first ratio, CFI/CFO. This is one of the most important questions when understanding Cash flow from Investing Activities : the percentage of cash flow generated in operations(CFO) that is used in cash flow from investing. We can see that the company used 54% of the cash flow generated in cash flow from operations for investing activities in FY 2016. We see that a very large part of cash generated from operations is re-invested into Investing activities. We will look at average instead of singular numbers as investment activities are lumpy i.e. one year may have very high investments followed by 2-3 years of low investments.

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